Barrow Quantity Surveyors
Quantity surveying and cost management

Initial Quantity Surveyor Report, Stages 1 and 2

Project budget, contract, contingency and programme review: Morayfield masterplanned commun

Prepared for Quillwood Credit Partners
Borrower: Precinct Land Co Pty Ltd
Version 1.0, 20 March 2026
Reference: BQS-QCP-PLC-2026-001
Date: 20 March 2026

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Borrower	Precinct Land Co Pty Ltd (ABN 34 822 626 657)
Sponsor	Precinct Communities Group Pty Ltd (trading as Precinct Communities)
Property	Lot 41 Rowley Road, Morayfield QLD 4506 (38.5 hectares, Moreton Bay local government area)
Facility scope	Stages 1 and 2, 148 of 286 approved lots
Proposed facility	A$52.0M senior secured land and civils development facility, 30 months
Report date	20 March 2026
Version	1.0, initial report
Prepared by	Barrow Quantity Surveyors
Prepared for	Quillwood Credit Partners

Report details

1. Executive summary

Quillwood Credit Partners has asked Barrow Quantity Surveyors to review the development budget, construction contract position, contingency and programme for stages 1 and 2 of the Morayfield masterplanned community. This is an initial report. It is based on the sponsor information memorandum dated 2 February 2026, the development approval and operational works approval, and the independent valuation by Harcourt Lyle Valuers Pty Ltd dated 13 March 2026.

Our principal conclusions are as follows.

- We estimate civil and infrastructure construction for stages 1 and 2 at A$32.4M, against A$29.6M in the information memorandum. This is an increase of A$2.8M, or 9.5%, and lifts total development cost (TDC) from A$67.0M to A$69.8M.
- With the facility limit unchanged at A$52.0M and sponsor equity at A$15.0M, the adjusted budget leaves an unfunded gap of A$2.8M. Loan to cost is 77.6% on the information memorandum budget. If the sponsor funds the gap, loan to cost falls to 74.5%, but sponsor cash contribution rises to A$17.8M.
- The budgeted contingency of A$1.5M is 4.6% of our civils estimate. We consider this thin for a site with early stage earthworks, a flood and overland flow overlay and unproven ground conditions. We recommend at least 7.5% (A$2.4M).
- Combined with the valuer's gross realisation of A$77.6M, the adjusted TDC reduces the margin on cost from 20.4% to about 11%, and lifts the loan to GRV ratio from 64.4% to 67.0%.
- The valuer assumes absorption of 5.5 lots per month against 8.0 in the information memorandum. A sell-out period of about 27 months sits close to the 30 month tenor and would extend the civil programme's finance cost beyond what is budgeted.

We have not yet sighted an executed civil works contract. Our recommendations in section 9 are therefore framed as conditions precedent and as items for the next stage of review.

2. Scope and basis of this report

The facility finances land allocated to stages 1 and 2, bulk earthworks, roads, stormwater, sewer, water and electrical reticulation, infrastructure charges, professional fees, and capitalised interest and fees for 148 lots. Stages 3 to 6 (138 lots) are outside the facility.

Our civils estimate is built from quantities derived from the approved reconfiguration plans and current south-east Queensland market rates for comparable subdivision works. We have not carried out a site inspection of the earthworks in progress for this initial report, and we have not tested the non-construction budget lines other than to check arithmetic and reasonableness. Those lines are taken from the information memorandum. Figures are in Australian dollars and exclude GST unless stated.

3. Project budget

The table compares the information memorandum budget with our adjusted budget. The only line we have changed is civil and infrastructure construction. The adjusted figure therefore does not include any additional finance cost from a longer sell-out period, which we address in section 7.

The whole site was acquired in June 2024 for A$27.0M and Harcourt Lyle values it as is at A$28.4M. The land allocation of A$14.0M to stages 1 and 2 is about 52% of the purchase price, which is consistent with the 148 of 286 lot proportion. The first mortgage will extend over the whole site.

Budget item	IM A$M	QS adjusted A$M	Variance A$M
Land allocated to stages 1 and 2	14.0	14.0	0.0
Civil and infrastructure construction	29.6	32.4	2.8
Infrastructure charges	6.4	6.4	0.0
Professional fees	3.3	3.3	0.0
Marketing and selling costs	2.4	2.4	0.0
Contingency	1.5	1.5	0.0
Capitalised interest and fees	9.8	9.8	0.0
Total development cost	**67.0**	**69.8**	**2.8**

Table 1: Stages 1 and 2 development budget, information memorandum against QS adjusted

4. Construction cost review

Funding	IM A$M	QS adjusted A$M
Senior facility	52.0	52.0
Sponsor equity	15.0	15.0
Unfunded gap	0.0	2.8
Total uses	**67.0**	**69.8**

Table 2: Sources and uses

Our civils estimate of A$32.4M equates to about A$218,900 per lot, against A$200,000 per lot implied by the information memorandum. Earthworks account for half of the variance. The remainder is spread across stormwater, preliminaries and roads.

The bulk earthworks allowance in the information memorandum appears to assume balanced cut and fill with limited import. Parts of the site sit within a flood and overland flow overlay, which in our experience increases fill volumes, detention storage and pavement thickness on affected streets. We have therefore increased earthworks by A$1.4M and stormwater by A$0.7M. Both figures should be revisited once geotechnical reports and the detailed stormwater design are available.

Civil element	IM A$M	QS A$M	Variance A$M
Preliminaries and site establishment	2.1	2.3	0.2
Bulk earthworks	7.2	8.6	1.4
Roads, kerb and pavements	8.0	8.2	0.2
Stormwater and detention	5.1	5.8	0.7
Sewer reticulation	2.9	3.0	0.1
Water reticulation	2.0	2.1	0.1
Electrical, communications and landscaping	2.3	2.4	0.1
Total civils	**29.6**	**32.4**	**2.8**

Table 3: Civil and infrastructure construction by element

5. Contract position

The information memorandum records that operational works approval was received on 10 November 2025 and that early bulk earthworks have commenced. We have not been provided with an executed civil works contract for stages 1 and 2. Before the lender relies on the construction budget, we need to review the following.

- The contract form, price basis (lump sum or schedule of rates) and whether the price is fixed for the full scope of stages 1 and 2.
- Provisional sums, prime cost items and exclusions, in particular rock, contaminated or unsuitable material, and flood related works.
- Liquidated damages, extension of time provisions and the allowance for wet weather.
- Security from the contractor, including bank guarantees or insurance bonds, and the retention regime.
- Contractor financial capacity and experience on subdivisions of comparable scale in south-east Queensland.
- Consultant appointments and any novation to the borrower or lender.

If the contract is a schedule of rates arrangement, the risk of cost growth beyond A$32.4M rests with the borrower and ultimately the sponsor. A lump sum price at or near our estimate would materially reduce that risk.

6. Contingency

The budget carries A$1.5M of contingency, equal to 5.1% of the information memorandum civils cost and 4.6% of our estimate. We regard this as light for the following reasons.

- Earthworks are at an early stage, with most of the ground exposed to wet weather and unforeseen conditions still ahead.
- The flood and overland flow overlay creates design and approval uncertainty that can change quantities.
- Infrastructure charges and conditions of approval may be revised before title registration.
- The adjusted budget already absorbs A$2.8M of cost growth identified before the main works have progressed.

We recommend contingency of at least 7.5% of civils, or A$2.4M. That is A$0.9M above the current allowance and would take TDC to A$70.7M, with the margin on cost falling to about 9.8% against the valuer's GRV. We recommend that the contingency be held in the facility cost to complete and released only with the QS's approval.

7. Programme

The key dates to date are set out below. We have not received a detailed contractor programme. The durations in the third row are our indicative view and will be tested when the programme is supplied.

On our assessment the civil programme is achievable, provided the earthworks are not materially delayed by the wet season. We recommend an explicit wet-weather allowance of not less than 10% of the earthworks duration. Delay in stage 1 title registration would defer settlements of the 49 contracted lots, and those lots carry 10% deposits held in the

sales agent's trust account.

Milestone	Date or period	Comment
Development approval, 286 lots	21 March 2025	Six stages approved
Operational works approval, stages 1 and 2	10 November 2025	Early earthworks started
QS indicative civil duration	16 to 18 months	Stages 1 and 2 combined, from commencement
Public sales launch	19 January 2026	49 contracts at the information memorandum date
Sell-out, information memorandum	About 18.5 months	8.0 lots per month
Sell-out, valuer	About 27 months	5.5 lots per month
Facility tenor	30 months	Proposed

Table 4: Programme milestones

The valuer's absorption of 5.5 lots per month implies 27 months to sell 148 lots. Against a 30 month tenor, there is limited headroom for settlement lag, stage 2 delays or a softer market. A longer sell-out would also add holding and interest costs that are not in the adjusted TDC of A$69.8M.

8. Cover on independent figures

The 49 contracted lots total A$26.4M, an average of about A$539,000. This leaves 99 lots to sell. On the valuer's GRV of A$77.6M, those lots average about A$517,000, which is below the information memorandum assumption of about A$545,000.

The loan to cost figure improves only because the sponsor must fund the A$2.8M gap. If that additional equity is not committed and evidenced, the facility would be exposed to a funding shortfall during construction.

Measure	Information memorandum	Independent
Gross realisation, A$M	80.7	77.6
Average lot price, A$	545,000	About 524,000
Total development cost, A$M	67.0	69.8
Margin on cost	20.4%	About 11%
Loan to GRV (A$52.0M)	64.4%	67.0%
Loan to cost (A$52.0M)	77.6%	74.5% if gap equity funded
Absorption, lots per month	8.0	5.5
Presales by lot count	33%	33%

Table 5: Key metrics on information memorandum and independent figures

9. Key risks and recommendations

9.1 Risks

- Cost: the A$2.8M variance may widen once geotechnical conditions and the flood related design are confirmed.
- Delay: wet weather, approvals and infrastructure charge revisions could defer title registration and settlements.
- Sales: only 33% of lots are under contract, and the valuer's absorption is 31% below the sponsor's assumption. Contracts remain exposed to buyer finance and valuation shortfalls at settlement.
- Sponsor: the borrower is a single-project vehicle that depends on Precinct Communities for equity and completion support.

9.2 Recommendations

- Size the facility and equity requirement against the QS adjusted TDC of A$69.8M, with the A$2.8M gap funded by the sponsor before first drawdown.
- Increase contingency to at least A$2.4M and require QS approval of all releases.
- Make receipt of the executed civil works contract, contractor security and a detailed programme conditions precedent, and instruct us to review them before settlement.
- Require geotechnical and detailed stormwater design reports, and an updated cost plan reflecting them.
- Appoint Barrow Quantity Surveyors to certify each progress claim and monitor the programme monthly.
- Test the facility tenor and interest reserve against the valuer's 27 month sell-out.

10. Sign-off

Prepared by	Barrow Quantity Surveyors
Reviewed by	Director, Barrow Quantity Surveyors
Date	20 March 2026
Status	Initial report, subject to review of the executed contract and programme

Report sign-off